



Ask Your Neighbor

In the employment data, the extensive margin is measured by _____ and the intensive margin is measured by _____.

- a. The substitution effect; the income effect
- b. Shifts in the production function; movements along the wage bill
- c. Labor force participation rates; hours worked
- d. Any or all of the above



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At the extensive margin, women's entry into the labor force 1950-2000 might have resulted from

- a. Relatively steep gains in women's after-tax real wages, reflecting reduced wage discrimination in the labor force *smaller gender wage gap*
- b. Relatively steep gains in women's after-tax real wages as the nature of work shifted away from physical labor *shrinking manufacturing*
- c. Lower returns to women in non-market work, reflecting both technological advances in home production and changing marriage patterns *more single women, falling prices of consumer electronics and appliances*
- d. Any or all of these things



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At the intensive margin, changes in average annual hours worked seem to result from compositional changes in the labor force, such as

- A. An increase in the number of full-time workers that hold multiple part-time jobs
- B. An increase in women's labor-force participation rates, where women tend to work fewer hours than men
- C. A decrease in men's labor-force participation, where men tend to work more hours than women
- D. Any or all of these things



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non-labor income (TI)

Higher retirement benefits for people over the age of 65 may be modelled as a _____ income effect, leading to _____ labor force participation for people over 65.

- a. negative; lower
- b. Negative; higher
- ☒ c. Positive; lower
- d. Positive; higher

*income ↑ leisure ↑
(normal good)
∴ N ↓*

